

Tempus AI, Inc.

TEM NASDAQ

Buy	\$48.59 ▲ 4.65%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.73B
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TEM: Reiterate Buy; FDA CDx, Partnerships Offset Insider Selling

WHAT'S CHANGED

- Stock rebounded ~+4.65% to \$48.59 after 6/5 sell-off to \$46.43, supported by 6/1 news of FDA-cleared CDx and AI oncology platform upgrades (+9.3% pop) and new partnership-driven catalysts flagged by Insider Monkey.
- CEO Lefkofsky disposed of ~69k shares (~\$3.2M) on 5/27 even as institutional ownership (ARK, BlackRock, Baillie Gifford each ~5%) remains supportive; short interest hit a record high per TipRanks.

IMPLICATIONS

The juxtaposition of record short interest, significant CEO selling, and bullish options flow (0.41 P/C, 2.2x OI on \$50 June calls) signals a high-conviction battleground setup into the next catalyst window. With shares trading at just 11% of the 52-week range and Tech ETF down 5.92% over 5 days, TEM's rebound is outperforming sector beta — suggesting fundamental support from the FDA CDx clearance and partnership wins is being priced in despite macro pressure. Near-term, the stock is a coiled spring where any positive data print on Lens/Next-gen sequencing volumes could trigger a short-covering rally toward \$55-60.

VALUATION

At \$8.73B market cap on ~\$1.4B FY26E revenue, TEM trades at ~6.2x EV/Revenue FY26E and ~4.8x FY27E — a discount to high-growth diagnostics/AI peers (NTRA ~8x, VEEV ~12x) reflecting unproven path to profitability. Our \$62 PT implies ~7.5x FY27E EV/Sales, supported by 25-30% topline CAGR and improving Genomics gross margins toward 60%. Multiple expansion hinges on demonstrating operating leverage and inflection toward EBITDA breakeven by 2H27.

KEY RISKS

- Persistent operating losses and cash burn could force dilutive equity raise; record short interest reflects skepticism on path to profitability.
- Heavy insider selling by CEO Lefkofsky (\$3.2M in late May) raises governance/signaling concerns.
- Reimbursement pressure on genomic testing (MoIDx, CMS) and slower-than-expected uptake of AI applications in clinical workflows.

RECENT NEWS

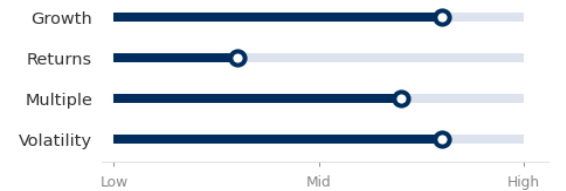
Assessing Tempus AI (TEM) Valuation After Recent Share Price Rebound And Underpriced Growt... Simply Wall St. · 2026-06-05 15:15

Tempus (TEM) Gets Double-Digit Boost from New Partnerships Insider Monkey · 2026-06-05 01:17

Key Data

Price (USD)	\$48.59
12M Price Target	\$62.00
Upside / (Downside)	+27.6%
Market Cap	\$8.73B
FY2026E Revenue	\$1,410M
FY2027E Revenue	\$1,820M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 08, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$49.00	\$42.00
6 Months	\$70.00	\$56.00	\$38.00
1 Year	\$88.00	\$62.00	\$33.00
2 Years	\$115.00	\$78.00	\$28.00
5 Years	\$195.00	\$115.00	\$22.00
10 Years	\$380.00	\$190.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy, Technology (1D bounce)

COLD SECTORS: Consumer Staples, Industrials

ROTATION WATCH: Tech is rebounding intraday (+2.15%) after a brutal 5-day -5.92% drawdown; healthcare diagnostics with AI exposure may benefit from a "quality growth" rotation if rates ease into summer FOMC.

BYPRODUCT PLAY: AI infrastructure spend benefits adjacent precision medicine data platforms — secondary beneficiaries include SDGR, RXRX, and clinical genomics names like NTRA leveraging similar data moats.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): Profitable inflection in Signatera MRD, ~35% YoY revenue growth with positive cash flow — setting the bar for genomics platforms.
- VEEV (Veeva Systems): Life sciences SaaS at scale with 25%+ operating margins, demonstrating the monetization model AI/health platforms aspire to.

TEM CONTEXT: TEM is rebounding faster than Tech ETF today (+4.65% vs +2.15%) but lagging profitable peers like NTRA over 6 months. Sitting at 11% of 52-week range, TEM is a reflexive rebound candidate, but sustained outperformance requires margin proof points the peer set has already delivered.

INVESTMENT STRATEGY

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-48 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue miss >10%, gross margin compression below 55%, or major partnership loss

Hedging: Pair long TEM vs short basket of unprofitable AI/healthtech peers (e.g., RXRX)